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Is Technology Downgrade Risk Overstated?



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Team: Credit
BI Senior Credit Analyst

AI Spending Could Turn Isolated Tech Risk Into a Ratings Wave

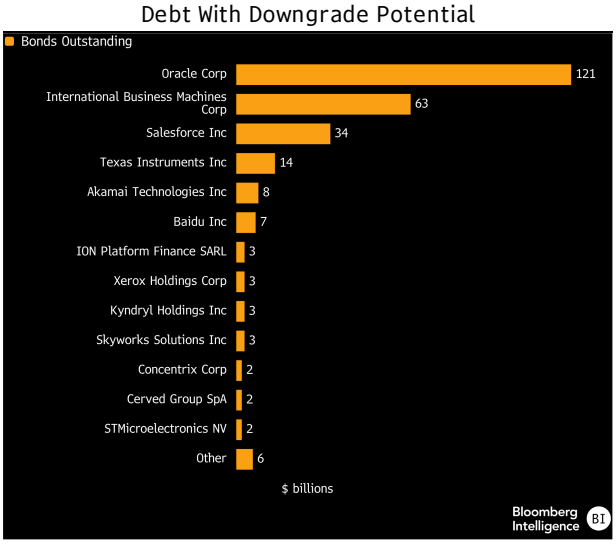
(Bloomberg Intelligence) -- Technology credit downgrade risk is concentrated today, with $270 billion of bonds exposed and three issuers -- Oracle, IBM and Salesforce -- accounting for 80% of the total, yet that balance could shift quickly if AI monetization disappoints. A more conservative stance from raters could put one or two additional hyperscalers on watch as capital spending, leases and off-balance-sheet financing push leverage toward downgrade thresholds. That could add hundreds of billions of dollars of debt to the downgrade-risk pool, turning what now looks like company-specific pressure into a broader sector concern. (09/28/26)

1. Oracle, IBM, Salesforce Anchor Risk - For Now

Oracle, IBM and Salesforce account for 80% of technology debt currently carrying downgrade risk, making today's exposure look highly issuer-specific. That concentration may understate how quickly the picture can change: hyperscalers have far larger debt bases, so even a modest shift in credit raters' tolerance for AI-funded leverage could move a substantial amount of bonds into the risk pool at once. The key inflection would be weaker AI monetization alongside sustained capital spending, leases and external financing, which could leave leverage above agency thresholds for longer than currently assumed.

Buffering the broad sector's downside risk is about $1 trillion of aggregate balance-sheet cash. At-risk debt includes issuers on review for downgrade or with at least one negative outlook from Moody's, S&P or Fitch. (09/28/26)

Debt With Downgrade Potential



2. Ratings Biased Negative for Past Five Years

Technology ratings have trended lower for five years, with S&P's upgrade-to-downgrade ratio at 0.59-0.92 since 2022. That imbalance could worsen sharply over the next two years. Current downgrade

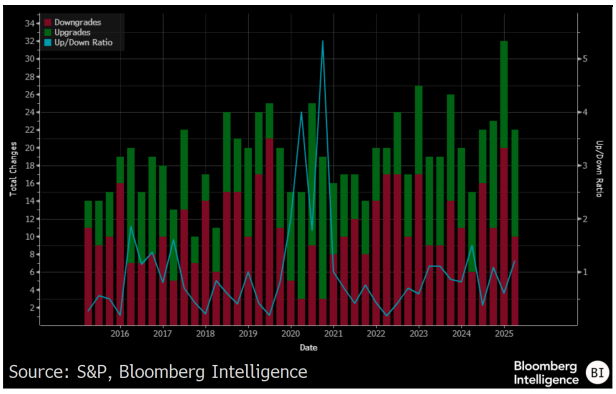
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risk is concentrated in Oracle, IBM and Salesforce, with more than $215 billion of debt combined. Oracle remains the largest source of pressure as heavy AI capital spending, negative free cash flow and rising funding needs test its BBB- rating, while S&P moved IBM to a negative outlook in December 2025 and Salesforce has carried one since March 2026.

That concentration may understate how quickly sector risk could expand: one or two hyperscaler outlook changes could add hundreds of billions of bonds to the downgrade pool if AI monetization disappoints or capex keeps leverage above raters' thresholds. (09/28/26)

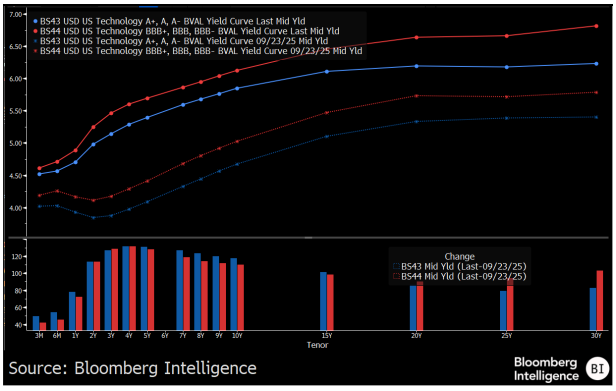
S&P US Tech Ratings Upgrades/Downgrades



3. Tech Curves Diverge as Yields Rise Across Ratings

Tech bond yields have shifted higher over the past year, while curve moves have diverged by rating. The 2-year/10-year yield gap widened by about 4 bps for single-A issuers, indicating modest steepening, while the triple-B curve flattened by about 4 bps. A large amount of debt has a negative outlook from at least one rater -- suggesting excess financial flexibility can provide buffers against any potential spread widening. (09/28/26)

Single A Widens, BBB Tier Curves Flatten



4. Oracle Force Majeure Tests Timing, Not AI Demand: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Oracle's force majeure notice for Project Jupiter looks more like a timing issue than a sign of weaker AI demand, supporting our view that it can maintain high grade ratings, and recent bond and CDS widening may be overdone. Delayed payments could ease near-term cash burn and funding needs, though a later start would push out revenue and Ebitda growth and raise uncertainty around monetizing Oracle's AI investments. Its $664 billion of RPO provides strong visibility, but conversion

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into revenue and cash flow is critical as heavy fiscal 2027 capex keeps free cash flow negative and borrowing needs elevated.

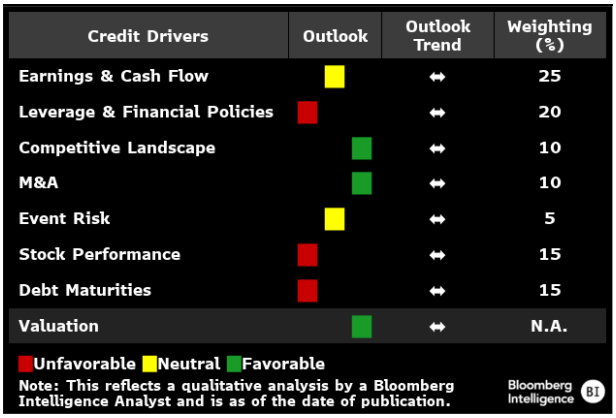
Greater funding clarity, including likely debt issuance in 1H27, and continued operating improvement could support spread tightening and relative outperformance vs. megacap hyperscaler tech peers as execution risk recedes. (09/26/26)

5. Oracle CDS Breach Record High, Yet AI Growth Could Eclipse Risk

Contributing Analysts Suchi Trivedi

Record highs for Oracle's credit default swaps (CDS), now exceeding 220 bps, may overstate its standalone credit risk as AI funding concerns increasingly make the name a proxy hedge for data-center exposure. Investors and lenders financing Oracle-tenanted and other AI data-center projects can use its liquid CDS to hedge construction and tenant risk, potentially pushing spreads wider than Oracle's standalone fundamentals would indicate. Oracle's 121% growth in cloud infrastructure and $664 billion RPO increasingly support management's commitment to investment grade ratings as stronger AI monetization expands Ebitda and gradually offsets leverage pressure from the build-out. Project Jupiter adds execution noise, but disciplined funding and continued backlog conversion could narrow the gap between market-implied risk and Oracle's underlying credit profile. (09/26/26)

Interactive Credit Checklist: Oracle



Source: Bloomberg Intelligence

6. Post IBM, Another Salesforce Leveraged Buyback? Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Salesforce's debt-funded buyback leaves credit investors with more risk as its equity price still trails, down 36% year-to-date. Its strong balance sheet and access to low-cost capital could again spur bond issuance for repurchases, especially as IBM's preannounced 1Q revenue shortfall and AI disruption concerns weigh on the software sector. Salesforce's single A rating appears intact, but leverage is on a rising path after the $25 billion deal shifted capital policy toward shareholders. Bond spreads had already widened materially vs. single A tech peers before issuance and may remain wider as balance-sheet strength becomes a lower priority.

Salesforce’s minus 257-bp excess return year-to-date ranks among the weakest for tech issuers in the Bloomberg US Corporate Bond Index. (07/23/26)

7. IBM Selloff Looks Overdone as Cash Flow Holds: Credit Outlook

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Bloomberg Intelligence

THESIS: IBM stock's drop after preliminary 2Q financial results and revenue guidance looks steeper than the earnings and forecast reset warranted. The company pared 2026 constant-currency revenue growth guidance to 4-5% from over 5%, yet maintained its free-cash-flow outlook and reported higher operating EPS. The reset and AI-driven buying shifts have hit the capital structure, with its equity value down 27% and longer-dated bond spreads 40 bps wider year-to-date. Still, $4.8 billion of 1H free cash flow, ample liquidity and access to low-cost funding support the ratings profile as top-line headwinds rise. A Salesforce-style pivot to debt-funded buybacks appears unlikely; tuck-in software M&A should remain the focus.

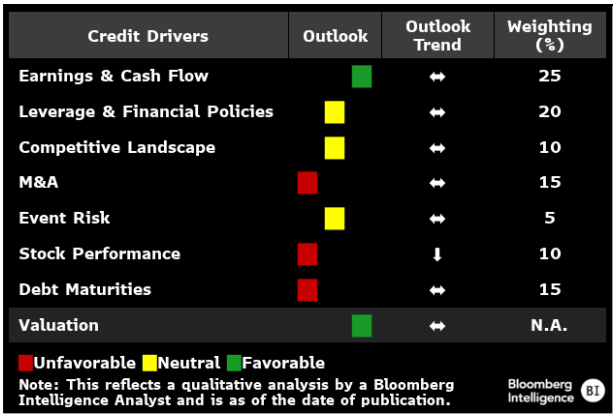
Wide spreads vs. tech peers and limited funding needs leave room for excess carry to support relative bond returns. (07/28/26)

8. IBM Not So Blue as Cash Generation Shows No Signs of Slowing

IBM's credit profile (A3; stable outlook/A-; negative/A-; stable) is still somewhat obscured by its multiyear strategic transformation and AI disruption concerns, yet its financial outlook remains consistent with single A credit quality. The company has increased debt to acquire higher-growth AI prospects while exiting slower-growth businesses, but its strong investment grade ratings profile endures. Though IBM's adjusted pro forma total debt after 1H issuance is relatively high at $62 billion, Ebitda is growing as acquisitions -- including its recent $11 billion cash purchase of Confluent -- are integrated.

Guidance for 2026 free cash to rise $1 billion year-over-year to $15.7 billion remains unchanged, despite modestly weaker revenue expectations, with CFO James Kavanaugh citing conviction to expand record free-cash-flow margins this year. (07/25/26)

Interactive IBM Credit Checklist



Source: Bloomberg Intelligence

9. Big Tech Bond Boom: Another Record in 2027 as AI Splurge Endures

Contributing Analysts Suchi Trivedi

Big tech looks poised to break another record for high grade issuance in 2027, defying concerns that this year's pace isn't sustainable as surging AI investment overwhelms the sector's formidable cash generation. Issuance across currencies has already topped $400 billion in 2026, surpassing 2025's record, and could reach $500 billion next year as refinancing needs, shareholder returns and still-rising AI capital spending keep borrowing elevated. This debt surge is unlikely to trigger broad ratings pressure as Ebitda growth keeps leverage under control for most large issuers and funding markets remain receptive despite vocal skepticism. (09/23/26)

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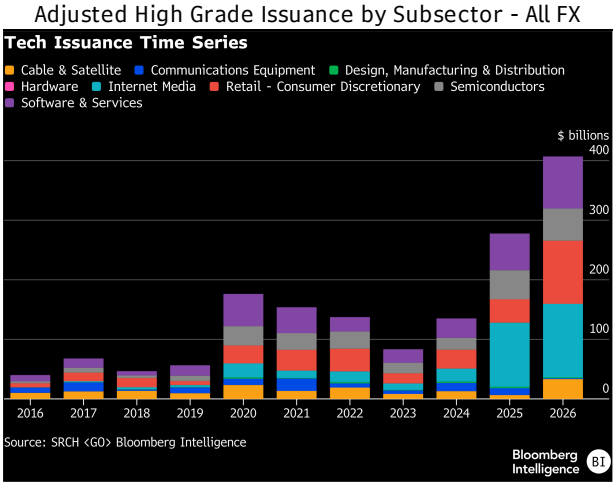
10. AI Spending Could Fuel Another Record for Tech Debt in 2027

Contributing Analysts Suchi Trivedi

With consensus forecasting more than $9 trillion of AI-related capital spending through 2031, coupled with hundreds of billions of dollars of refinancing needs, elevated issuance of tech debt could extend into 2027. Year-to-date supply has approached $400 billion across currencies, already topping roughly $290 billion in 2025, and more than doubling the prior peak of about $150 billion in 2021. Sustained AI infrastructure spending and a growing maturity pipeline could keep 2027 issuance near or above this year's record pace.

Amazon, Alphabet, Oracle, Meta and SpaceX account for nearly $250 billion of year-to-date issuance, underscoring how quickly AI investment is reshaping tech funding. Strong demand (albeit at wider spreads and higher yields) has so far allowed issuers to absorb substantially more debt, while anticipated Ebitda growth should help contain leverage. Credit differentiation could still widen as borrowing rises, with free cash flow, liquidity, refinancing needs and the pace at which AI investment converts into earnings becoming increasingly important to debt capacity. (09/23/26)

Adjusted High Grade Issuance by Subsector - All FX



11. Negative Free Cash Flow Gap to Grow Wider

Contributing Analysts Suchi Trivedi

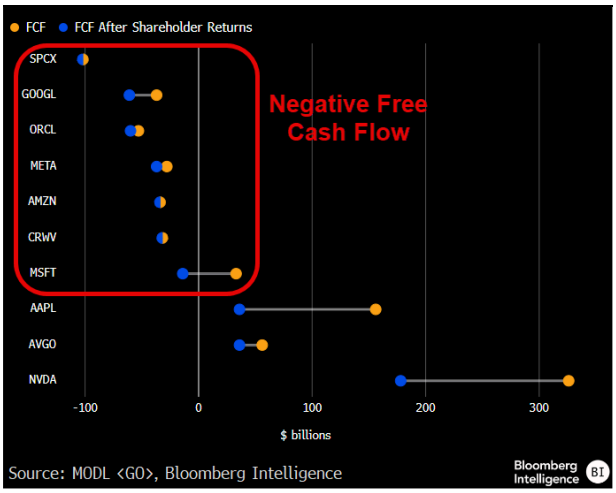
AI funding needs could rise further in 2027 as heavier capex pushes excess free cash flow deeper into negative territory at SpaceX, Alphabet, Oracle, Meta, Amazon and even Microsoft. Aggregate free cash flow may remain positive across the broader tech group, but after dividends and anticipated buybacks, several issuers could require considerable additional financing rather than drawing down cash reserves.

Funding options remain broad, spanning balance-sheet cash, unsecured bonds, private debt, third-party project financing and debt backed by data centers, chips and other infrastructure assets. That breadth should support continued large-scale AI financing through the rest of 2026 and into 2027, with adjusted investment-grade technology issuance already topping $400 billion across currencies this year. (09/22/26)

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2027 Expected Free Cash Flow After Returns



12. Tech Refinancing Looks Manageable as AI Funding Swells

Technology companies should have little difficulty absorbing maturities through 2027, yet refinancing and elevated AI investment could keep borrowing well above debt coming due over the next 12-15 months. Apple, Amazon.com, Oracle, Microsoft and IBM face the largest maturities through the end of 2027, with still-supportive credit spreads and negative free cash flow at several issuers making refinancing more likely than repayment as AI capital spending climbs.

Strong balance sheets and operating cash flow leave most hyperscalers with ample funding capacity, limiting near-term refinancing risk even as gross debt rises. The bigger credit question is whether persistently high AI spending begins to erode free cash flow enough to increase reliance on external financing. That could keep supply elevated well beyond the current maturity cycle, particularly for issuers simultaneously funding acquisitions, data centers and other infrastructure. (09/23/26)

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2026-27 Dollar Maturities: Technology



13. Maturity Walls, Spending Set the Stage for Higher Issuance

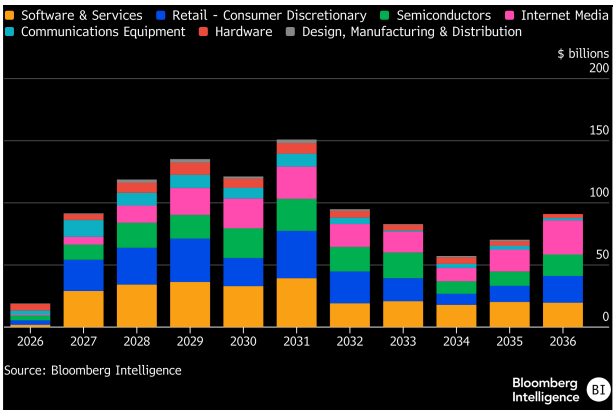
High grade technology's maturity wall is large in absolute terms but manageable against the sector's cash generation and debt base. Roughly $95 billion comes due annually on average over the next decade, with maturities declining in later years. Refinancing therefore looks unlikely to be the main driver of borrowing. Trillions of dollars of AI-related capital spending, alongside sizable shareholder returns, should create a larger funding call and sustain elevated issuance. Debt loads may reach new highs, but anticipated Ebitda growth should keep leverage contained and rating profiles broadly resilient.

The largest maturity wall comes in 2031 at almost $151 billion. (09/23/26)

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High Grade Tech Maturities Through 2036



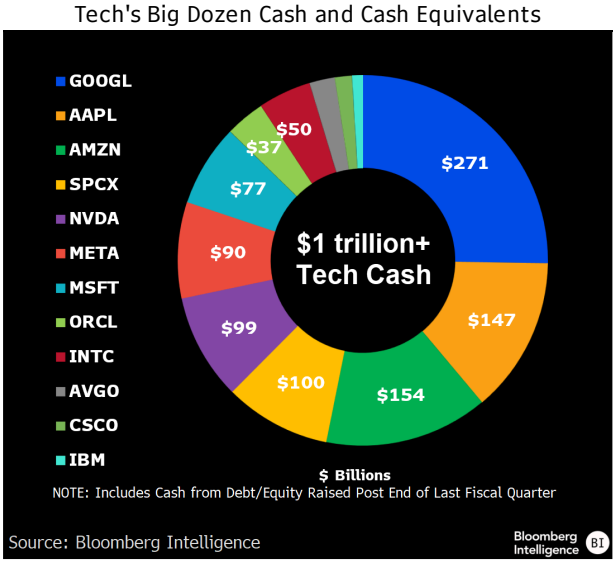
14. Access to Capital Keeping Cash at Record Highs

Contributing Analysts Suchi Trivedi

Abundant liquidity and capital market access should keep broad tech credit risk contained, even as AI spending swells leverage and debt issuance. Strong Ebitda and operating cash flow, combined with years of conservative financial policy, leave most issuers with substantial balance-sheet capacity and limited ratings pressure. The 12 largest issuers we cover hold nearly $1 trillion of cash, while sector liquidity across the ratings spectrum exceeds $1 trillion.

Most issuers could fund operations through the near term without new debt, and capital-market access remains deep despite wider spreads and higher yields. That funding flexibility should allow issuers to preserve liquidity while financing elevated AI investment, even as spending and shareholder returns temporarily outpace internally generated cash. (09/22/26)

Tech's Big Dozen Cash and Cash Equivalents



15. $9 Trillion AI Question: Can Markets Fund the Capex Growth?

AI infrastructure spending could approach $9 trillion cumulatively by 2031 as hyperscalers keep ratcheting up capex plans, yet this trajectory isn't certain, as outer-year consensus increasingly assumes spending growth that looks difficult to sustain. Recent guidance reinforces our view that 2026 outlays could rise almost 100%, with pressure extending into 2027, even as weaker free cash

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flow increases the need for financing. Deep markets for bonds, equities, leases, project finance and customer prepayments should absorb the shortfall, keeping the build-out financeable, even if spending ultimately undershoots current long-term expectations. (09/15/26)

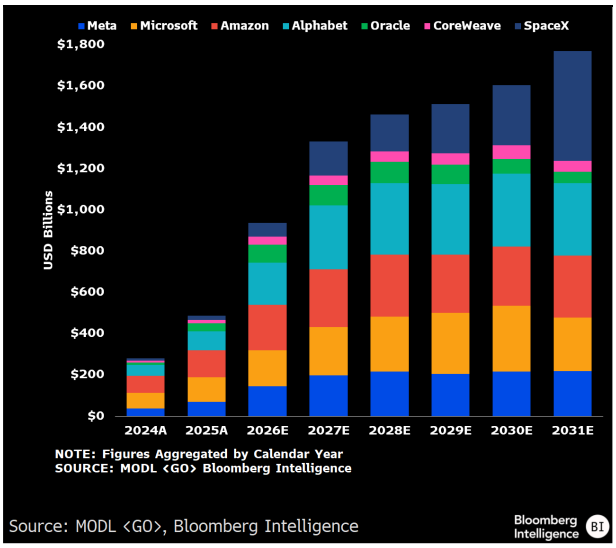
16. Hyperscalers' Largest Appetites for AI Capex Keep Getting Bigger

Contributing Analysts Suchi Trivedi

Amazon could lead capital spending on AI at about $220 billion in 2026, topping Alphabet's $195-$205 billion and Microsoft's almost $200 billion, we calculate. Amazon and Alphabet's spending could top $300 billion in 2027, reinforcing our view that the near-term build-out has further to run, even as outer-year expectations grow less certain. Aggregate capital spending by the largest US hyperscalers, which now include SpaceX, will approach $960 billion in 2026, based on consensus, up from our prior view of $750 billion, as the latest earnings cycle lifts near-term plans

On current trajectories, cumulative AI capex could approach $9 trillion in 2025-31, though aggressive outer-year assumptions, particularly for SpaceX, could prove too high. Stronger demand, government support and strategic investment could push spending higher, while large-language model efficiency gains and slower growth at mature hyperscalers may temper the build-out. (09/15/26)

Technology's Largest AI Capex Spenders



17. Rising Ebitda Prevents Big Increase in Leverage

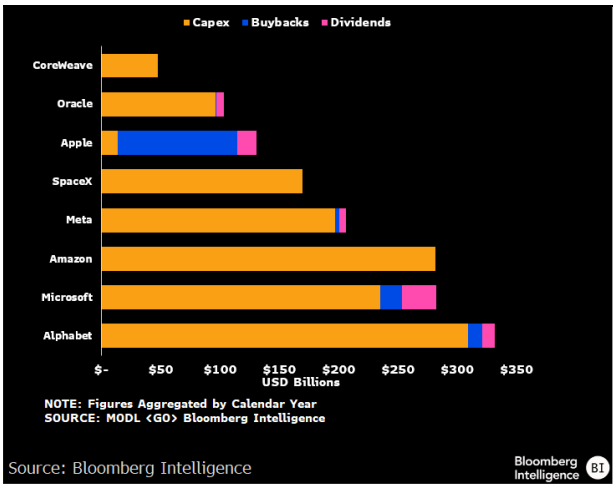
Capital allocation is diverging as Apple, Microsoft, Meta and Alphabet balance rising AI investment with large shareholder returns, while Amazon.com directs more cash toward capex and pays no dividend. Amazon could lead 2026 capex at about $220 billion, while Alphabet's total cash outflows could top $320 billion in 2027 after dividends and buybacks. Free cash flow may weaken in the near term, but Ebitda growth of about 29% annually through 2031 could support higher investment and shareholder returns without materially increasing ratings pressure.

If a new spending model emerges in which computing power is drastically reduced, we could see a reversal in capex allocations, which might result in increased excess cash flow. (09/15/26)

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2027 Estimated Capital Allocations



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